Strategy Land

Richard Rumelt's Web Journal on Good and Bad Strategy in Business, Politics, and Economics

A Devil's Bargain

Egypt's uprising is triggered by huge cadre of unemployed urban youth

February 9, 2011 By Richard Rumelt

As someone who writes about "strategy," I am frequently asked to react to crises. Today, as the events in Egypt tumble along, the questions are about the administration's "strategy" vis-à-vis Cairo. Should Obama help Mubarak hold on for a bit longer? Should he work closely with the Egyptian military or with elements of the uprising? Is the fact that the State Department and the White House cannot agree a problem?

The first step in generating a good strategy is having a reasonable diagnosis of the situation. The aim of strategy is to focus resources on a critical point of leverage, but that is an unlikely outcome if you do not understand the nature of the difficulty.

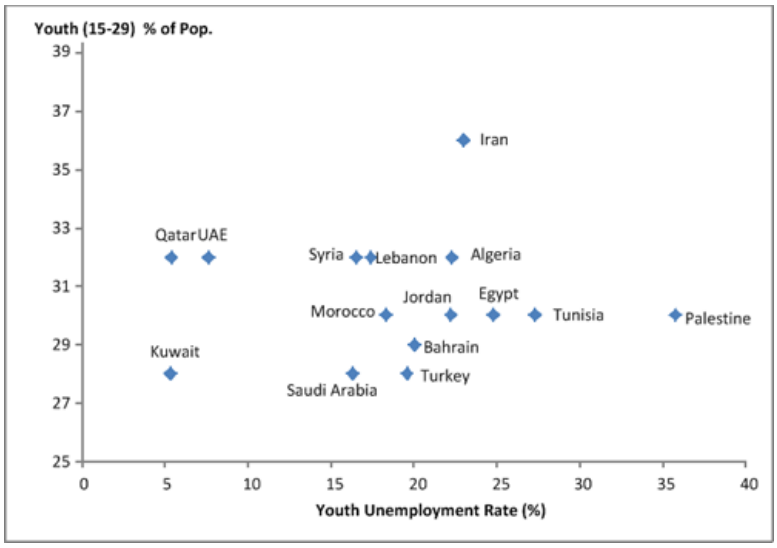
The Setting

To a large extent the uprising in Egypt has been precipitated by the country's terrible economic performance and its present "bulge" of highly-educated but unemployed urban youth. Their chief complaints are a lack of jobs, increasing prices, and of government corruption, starting at the top.

The urban crowds at the heart of this uprising are partly a consequence of social policy gone sour. To spur education, Nasser's Egypt promised a government job to every high school graduate, and good jobs to those with college degrees. This produced generations of paper chase, with schools focusing on credentials rather than education. The result is that, although a very poor country, Egypt has one of the highest ratios of post-high school educated youth in the region—"29 percent compared to 11 in Iran and Turkey."[1] But the government has not been able to fulfill this promise of government jobs and the lack of a vigorous private sector has left many educated young Egyptians without work or without sufficient income to marry and have a family.

The situation in Egypt should be a lesson to those who think more education is the answer to unemployment. In Egypt young people with more education are more likely to be unemployed. The unemployment rate among males[2] completing middle-school was about 3% in 2007, whereas 5% of those completing technical high-schools were unemployed. Of those completing more general high-schools, 15% were unemployed. Among those with a university degree, 23% were unemployed.[3] Educated young men with nothing useful to do are the tinder for urban unrest.

The chart below shows the percentage of youth (15-29) unemployment versus the percentage of youth in the population for each MENA (Middle East and North Africa) country. As is evident, the most serious tensions along this line are in Iran and Palestine. The next most serious youth situations are in Tunisia, Egypt, and Algeria.



The issue of Egypt's stability is salient to the United States because we have made a commitment to pay Egypt to not make war on Israel. Right now we give Egypt about $1.3 billion each year in direct military support and provide another $0.7 billion in civil assistance. This large level of support dates back to the 1978 Camp David Accords engineered between Egypt and Israel by President Jimmy Carter. At the center of the Accords was a deal: Israel returned the Sinai to Egypt, the two countries agreed to peaceful coexistence, and the U.S. would commit to military support of both. Egypt, in effect, jumped out of the Soviet sphere of influence and threw in with America. With Egypt removed from the anti-Israel Arab alliance, the series of wars aimed at eliminating Israel ceased (1948, 1956, 1967, 1973). Egypt became the second largest (after Israel) recipient of U.S. military and other support. According to Wikileaks, a 2009 U.S. embassy cable said this about the deal:

> President Mubarak and military leaders view our military assistance program as the cornerstone of our mil-mil relationship and consider the USD 1.3 billion in annual FMF as "untouchable compensation" for making and maintaining peace with Israel. The tangible benefits to our mil-mil relationship are clear: Egypt remains at peace with Israel, and the U.S. military enjoys priority access to the Suez Canal and Egyptian airspace.

It may be that a threat to withhold this support will keep the Egyptian military in the U.S. pocket. It might even be that, with the Egyptian military beholden to the U.S., the Obama administration can cajole and push the Egyptian government towards a path of greater liberty and democracy. However, this is not a likely outcome. To assess outcomes, one must look at the impact of one's moves on the other party. Although some members of Congress are now recommending halting our payments to Egypt, it would actually be hard to think of a policy more likely to enrage Egyptians of all stripes. Such machinations would be a clear default on the contract with Egypt which guarantees payments for not warring on Israel, placing no conditions on the state of its internal political system. Whatever your motive, welching on a bargain is still welching. And, such posturing also reminds everyone that America has been bribing Egypt just as Egyptian citizens must bribe higher-ups to get anything done. If using this leverage works for a moment, it only delays the explosion. Furthermore, the obvious counter is for Iran or Saudi Arabia to offer its monetary support to replace the Americans.

A better short-term strategy would be to reassure Egypt about the military and civilian support, and set conditions for *increasing* focused economic aid. A key problem for any new ruler or ruling

coalition in Egypt is the youth uprising. Potential leaders who had access to new U.S. resources aimed at job creation would have an edge. And making these resources conditional on economic and political policies and progress would be much less provocative than reneging on the existing agreement. Many U.S. politicians will moan about spending more billions on Egypt, but strong leadership can remind them that we are currently spending $6.7 billion per *month* in Afghanistan, with little to show for it.

A longer-term strategy must address not only the failings of Egypt, but also the failings in a third of a century client relationship with the United States. The Camp David Accords have bought two generations of stability in Egypt. But the United States has had no strategy for exploiting that stability to increase the welfare or liberty of the Egyptian people. Our unquestioned competence at military equipment and training has not been matched by competencies at shaping economic or political institutions and policies.

Economics

Why is Egypt so poor? The short story is that its economy remains locked to an obsolete vision of "Arab Socialism" in which the state owns and controls industry and finance, regulates the price of bread, and is the main employer of those with high-school degrees or better. Furthermore, as shown by Hernando de Soto, Egypt's property rights regime is one of the worst in the world. Over 90 percent of Egyptians who have real estate lack a formal legal title. Entrepreneurs lack clear title to their assets. The underground extra-legal economy is the largest employer. And, the barriers to business are high. De Soto explains: "To open a small bakery, our investigators found, would take more than 500 days. To get legal title to a vacant piece of land would take more than 10 years of dealing with red tape. To do business in Egypt, an aspiring poor entrepreneur would have to deal with 56 government agencies and repetitive government inspections."[4] These are difficult barriers to economic progress, but they can be addressed by competent and honest leaders. As we have found when India and China broke away from strict socialist policies, economic development is not restricted to the West.

Why hasn't Egypt's relationship with the U.S. helped it towards a more efficient economic system? The unfortunate answer is that the U.S. is unclear on the causes of economic growth and development. Study development economics at many universities and you will learn that the problem is a lack of investment, which is like saying that a famine is caused by a lack of crops. Government officials spout slogans about free markets but seem to have no real idea about how economies develop. An egregious case in this regard was the Harvard Institute for Economic Development's engagement with Boris Yeltsen and Russia in 1991-98. Supported and directed by Clinton appointee Larry Summers, H.I.I.D. assembled a group, headed by Harvard economics professor Jeffrey Sachs, to help Russia make the transition to a free economy. Their primary focus was privatization—getting the immense resources owned by the Russian state into private hands. There is no evidence that Sachs and the H.I.I.D. gave any weight to the need for a decent court system, the development of commercial contract law, the creation of a system for recording property rights and dealing with disputes, or accessing the immense amounts of knowledge and expertise that exist within the private organizations of Western private firms. Rather, they pushed for a decentralized private economy without worrying about the necessary pre-conditions.

The economic advice provided to Russia by the United States and the H.I.I.D. was disastrously wrong. In the privatization that occurred, immense wealth passed into the hands of a few and the

modern "oligarch" economic system began to take shape. The average Russian became worse off and Russia neared collapse.

That bad advice came out of bad doctrine. It illustrated in stark terms that the U.S. academic and political establishment had no clear idea about how and why their own economic system had worked reasonably well for a long period of time. That bad doctrine espoused a childlike faith in free markets and competition to produce good outcomes. Competition does spur people to seek out gain and push aside inefficient methods. It also can lead to child labor, private armies of mercenaries, protection rackets, company stores, and hidden poisons in the food. There is much more to a healthy economy than free and competitive markets.

Politics

Egypt is, like so many other Middle East/North African countries, a sham republic in which a president and his trusted allies rule based on the power of the army and secret police. There is a system of political parties, elections, and cabinet ministers. But with the power to replace ministers, to dissolve parliament, to bypass the courts by decree, plus the strong dependencies created by weak private economy and civil society, gives the president overwhelming power.

The transition from this kind of system to a liberal democracy is virtually uncharted. Yet that road is not made any easier by the haphazard sloganeering that passes for political advice from the U.S. As a prime example, it is now common for the U.S. to press others to have "free popular elections." Yet the history of our own country points in other directions. The United States was firstly a republic with only the House of Representatives elected by popular vote. Its founders placed more importance on a constitution limiting government power—especially the Bill of Rights—than they did on the details of elections. In fact, the founders saw pure democracy as the rule of the mob, a chaos in which any disliked minority could be easily set upon. Much of the complexity of the U.S. form of government arises out of mechanisms designed to dilute the passions of the day and the chants of the mob. In fact, the Constitution only specifies that the government of each state must be "republican" in form. There is nothing in the Constitution to prevent state governors being chosen by lot rather than by election.

These lessons from our own history teach us that creating freedom under law and government is a complex task in balancing liberty with constraint. Having our leaders spout slogans like "free elections" and the "will of the people" is astoundingly unhelpful and ignores the hard-won lessons of our own past.

As in the case of economics, there is a yawning gap between the practical needs in the world and the pop-culture slogans that pass for policy today. As a case in point, the U.S. is presently engaged in a war in Afghanistan which envisions creating a stable democratic republic out of a feudal system of regional warlords. Yet there is no clear view of how such transitions are made. According to most historians, the "nation-state" was born at the Treaty of Westphalia in 1648. This conceit has long hampered serious thinking about how feudal societies of warlords become nations.

- In China, warlords were greatly reduced in 1930s during the fighting between Chiang Kai-shek and Mao Tse Tung.
- In England, the story of King Arthur is a cultural memory of a brief moment when a great warlord defeated the others and absorbed their warriors into a state dedicated to justice rather than violence.

- In France, the first Capetian king (Hugh Capet, 987) only ruled an area around Paris, the rest of what we now call France being divided among warlords. The slow evolution into a nation took five to six hundred years. Louis XIV completed the process in the 17th century by trading royal land, rights to tax collections, and official positions in the state for loyalty to the central government.[5] (Today these sorts of deals are called "corruption," but what would a modern political scientist advise Louis XIV to do instead?)

- In Japan, Tokugawa Ieyasu consolidated power in 1600 through a series of brilliant political and military moves. His military victory ended hundreds of years of warlord conflict and brought Japan 250 years of relative peace. The samurai gradually became administrators and government officials.

A common factor in these transitions out of warlord society was force. And, significantly, it appears to be important to find well-paid employment for those who had made soldiering their livelihood.

The Way Forward in the Longer Term

One of the most powerful long-term strategic advantages of the United States has been its high-quality universities, open for enrollment to people from all over the world. Our strongest allies in far-off places have almost invariably been educated at Harvard, UCLA, Yale, Chicago, and so on. There they have not only learned subjects, but the value of (fairly) open inquiry and something of how a (fairly) free society, under law, functions.

As a member of the academic world, I can assure you that an Egyptian coming to the United States to study economic policy or political development would be exposed to a great many ideas, but almost none would be very helpful. Western intellectuals are caught up in fascinating high-theory debates of little practical consequence and, at the same time, form a community in which criticism of our own modern economic and political systems far outweighs any comprehension of what it takes to enable and create such systems.

In 1862, the second industrial revolution was picking up steam. Acting with foresight, the U.S. Congress enacted the Morrill Act, which provided federal land to enable states to build (land-grant) universities dedicated to the study of agriculture and engineering. (Most colleges with "State" in their name are descendants of this program.) Today, I believe we should make a smaller more focused investment in three or four federal centers for the study of economic and political development. Like the original land-grant agricultural and engineering programs, these would not be dedicated to high-theory but to the collection of data and study of practical issues concerning how property rights, markets, courts, parliaments, and other institutions, come into being, are organized and are administered. Students would come from the United States and from around the world. The objective would be to become the "go to" place in the world for anyone wishing to understand how to improve economic and political systems.

I believe that if we had had such a resource in place in 1980, history would have been quite different. And, it is not too late. Significant stretches of Africa, the Middle East, North Africa, and parts of Asia should be making economic and political transitions to more efficient, productive, and less coercive systems. We must try to shape these transitions with more than subsidies, military support, and coercive interventions.

Footnotes

1. Salehi-Isfahani, Djavid, "Human Development in the Middle East and North Africa," United Nations Human Development Report 2010/26. [↩]
2. Female unemployment is much greater, with about 50% of educated women being unemployed. [↩]
3. These data are taken from Assad, Ragui and Barsoum, Ghada, "Youth Exclusion in Egypt," Wolfensohn Center for Development, September 2007. [↩]
4. de Soto, Hernando, "Egypt's Economic Apartheid," *Wall Street Journal*, February 3, 2011. Also see de Soto, *The Mystery of Capital*, Basic Books, 2000. [↩]
5. See Berman, Sheri, "From the Sun King to Karzai," *Foreign Affairs*, 89, 2010. [↩]

Tagged economic development, Egypt, foreign policy | 5 Comments

5 Responses to *A Devil's Bargain*

Richard Roll [February 11, 2011 at 4:49 am]
I read this carefully and think you are right in every point but one. There are some people, though not in our government and not among most academics, who DO understand the set of institutional arrangements that will bring prosperity to a poor country. You mention a few of these, such as strong property rights (including specific title to property) and the lack of corruption. And, you are so right that education alone, without better institutions, will only result in large numberd of well-educated and disgruntled unemployed people. Some of us do know the right arrangements (see attached paper) but the trick is to convince governments, even well-meaning, non-corrupt, and enlightened governments, to set them up.

Reply

Richard Rumelt [February 12, 2011 at 5:59 am]
You are mostly right, of course. And I am aware of your ideas and empirical work on this issue. So, yes there are academics who "get it." Yet, even though we have people, like yourself, who are not lost in the clouds about what makes an economy work, I hope you will agree with me that there is precious little nitty-gritty knowledge about how to get from here to there. For example, how would one go about establishing real estate property rights in Egypt? You don't want 20-year court battles over each small lot. At the end of WW2, this is one of the things that MacArthur insisted on in Japan and he used his dictatorial power to simply guide the drawing up of documents regarding land ownership.

Reply

Steve Tallman [February 12, 2011 at 1:42 am]
As Mubarak moves into history today (2/11), Dick, your analysis becomes even more relevant. However, when one considers that education in the US, at all levels, has become a politicized activity, I rather doubt that we can offer the kind of objective, evidence based advice that you suggest. Indeed, it seems unclear whether the US will be able to retain the judicious debate and compromise to make representative democracy work or the regulatory structure to keep a market economy working. The Egyptians may need look elsewhere or invent their own way.

Steve Tallman

Reply

Richard Rumelt [February 12, 2011 at 6:08 pm]
Your are right. Our education system, especially in the inner cities, is very backward. So is our ability to build fast trains, nuclear power plants, and so on. Our system is far from best practice. My entry didn't go into this, but I do not envision such "centers" as holding up the U.S. as the model. As you suggest, we have much to learn from others about what actually works in certain circumstances.

Reply

Paula B. [May 31, 2011 at 10:40 pm]
Obama has just promised more US aid to Egypt. Tom Friedman (NYT 5/28) argues that "Egypt needs something more from Washington than money: quiet, behind-the-scenes engagement with Egypt's ruling generals over how to complete the transition to democracy." Neither take your point that Egypt needs to develop political and economic institutions to support economic development. Mobs voting is not a panacea.

Reply

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